

Insurance - Fitness and Propriety

Source: <https://www.prarulebook.co.uk/prarules/insurance---fitness-and-propriety/03-03-2026>

Effective Date: 03-03-2026

Type: PRA Rule

Scraped: 2026-03-02 20:50

1

Application and Definitions

1.1

Unless otherwise stated, this Part applies to:

1. (1) a UK Solvency II firm ;
2. (2) in accordance with Insurance General Application 3, the Society , as modified by 5;
3. (3) in accordance with Insurance General Application 3, managing agents , as modified by 5;
4. (4) a third country branch undertaking (other than a Swiss general insurer);
5. (5) a UK ISPV ; and
6. (6) a third country insurance services provider.

1.1A

Any reference in this Part to assessing or deciding whether a person is a fit and proper person , shall, in relation to a SRO firm , be construed as a reference to assessing or deciding whether the person is fit and proper to perform the function of overseeing an orderly run-off of the firm's regulated activities in the UK.

1.2

In this Part, the following definitions shall apply:

continued approval

has the meaning given in Insurance - Senior Managers Regime ? Transitional Provisions.

regulatory reference template

means the template found in 7.1.

2

Fitness and Propriety Assessments by Firms

2.1

A firm must ensure that all persons who perform key functions or certification functions are at all times fit and proper persons.

[Note: Art. 42(1) of the Solvency II Directive]

2.2

In deciding whether a person is fit and proper pursuant to 2.1 and, where applicable, section 60A(1) and section 63F of FSMA, a firm must be satisfied that the person :

1. (1) has the personal characteristics (including being of good repute and integrity);
2. (2) possesses the level of competence, knowledge and experience;
3. (3) has the qualifications; and
4. (4) has undergone or is undergoing all training,

required to enable such person to perform his or her key function or certification function effectively and in accordance with any relevant regulatory requirements, including those under the regulatory system, and to enable sound and prudent management of the firm.

[Note: Art. 42(1) of the Solvency II Directive]

2.3

Before deciding, and in considering on an on-going basis, whether a person is fit and proper pursuant to 2.1 and 2.2, a firm must consider:

1. (1) the person's past business conduct; and
2. (2) whether the person performs his or her key functions or certification functions in accordance with the relevant conduct standards specified in Insurance - Conduct Standards 3.

[Note: Art. 42(1) of the Solvency II Directive]

2.4

In deciding whether a person (P) is fit and proper to be appointed as a PRA senior management function holder or a notified non-executive director, a firm must:

1. (1) obtain P's consent for the firm to request the fullest information in relation to P that it is lawfully able to request under the Police Act 1997 and related subordinated legislation of the UK or any part of the UK ;
2. (2) if P has lived or worked outside the UK for a material time in the previous six years, obtain P's consent for the firm to request the fullest information in relation to P that it is lawfully able to request under equivalent overseas legislation; and
3. (3) request, and have regard to, such information.

2.5

1. (1) Before deciding whether a person (P) is fit and proper to be appointed as a key function holder or to perform a certification function, a firm must take reasonable steps to obtain appropriate references covering the past six years from the following:

1. (a) each FCA-authorised person and PRA-authorised person that is, or was:
 1. (i) P's current or former employer; or
 2. (ii) an organisation (not falling within (i)) at which P is currently serving, or has served, as a key function holder, approved person, non-executive director, notified non-executive director or credit union non-executive director or performed, or is currently performing, a certification function ;
 2. (b) P's other current and former employers; and
 3. (c) other organisations at which P served as, or is currently, a non-executive director.
2. (2) A firm (A) is not required to request references from an employer of P or any organisation referred to in (1)(a) to (c) (such employer or organisation, B) where:
3. 1. (a) A and B are members of the same group ; and

2. (b) there are adequate arrangements in place under which A has access to all information sources to which B has access to the extent necessary were B giving a reference in accordance with this Part.
4. If A has access to only some of the information in 2.5(2)(b), A may ask for a reference that only covers the information to which A does not have access. To the extent that A does not request a reference in the circumstances set out in this (2), A must access and obtain the relevant information.
5. (3) When making a _PRA senior management approval application_, a _firm_ must take reasonable steps to obtain references in accordance with (1) and (2):
 6. 1. (a) no later than one month before the end of the application period set out in section 61 of FSMA; or
 2. (b) where a request by a _firm_ for a reference to an employer or organisation would require the _firm_, the employer, the organisation or any other _person_ to make a _mandatory disclosure_ prior to P disclosing to its current employer or organisation, as the case may be, that such application has been made, before the end of the application period set out in in section 61 of _FSMA_.

2.6

1. (1) Where a _firm_ (A) seeks to obtain a reference pursuant to 2.5, A must request that the organisation giving the reference (B) discloses all matters of which B is aware that B reasonably considers to be relevant to the assessment of that _person_'s fitness and propriety.
2. (2) A must also request that, if B is a _full scope regulatory reference firm_, B discloses the information contained in the _regulatory reference template_.

2.7

If a _firm_ previously obtained the information required by 2.4 to 2.6 when it determined that a _key function holder_ or a _person_ performing a _certification function_ was fit and proper for the purposes of this Part, and the _firm_ engages that _person_ for a continuous period of time, the _firm_ is not required to comply with 2.4 to 2.6 again in respect of any subsequent _key function_ appointments or arrangements to perform _certification functions_ at the same _firm_ within that continuous period.

3

Regulatory References

3.1

1. (1) If any _PRA-authorised person_ (A):
 1. (a) is considering issuing a _certificate_ to, making a _PRA senior management approval application_ in respect of, or appointing as a _key function holder_, a _non-executive director_, a _notified non-executive director_ or a _credit union non-executive director_, a _person_ (P);
 2. (b) makes a request for a reference or other information in respect of P from a _firm_ to which this Part applies (B), in B's capacity as:
 1. (i) P's current or former employer; or
 2. (ii) an organisation (not falling within (i)) at which P is currently serving, or has served, as a _key function holder_ or other _approved person_; and
 3. (c) indicates to B the purpose of the request
2. B must, as soon as reasonably practicable, provide a reference and disclose to A in the reference all information of which B is aware that B reasonably considers to be relevant to A's assessment of whether P is fit and proper.
3. (2) A _firm_ (B) which is required to make a disclosure under 3.1(1) is required to disclose information on or relating to something which occurred or existed:
 1. (a) in the six years before the request for a reference;

2. (b) between the date of the request for a reference and the date B gives the reference; or
3. (c) in the case of serious matters, at any time.
4. (3) When giving the reference referred to in 3.1(1), a _firm_ must:
 1. (a) use the _regulatory reference template_; and
 2. (b) include all the information set out in the _regulatory reference template_.
5. (4) A _firm_ may make formatting modifications to the _regulatory reference template_ when giving a reference under 3.1(1), provided the _regulatory reference template_ as modified includes all substantive information required by 3.1(3)(b).

3.2

1. (1) If:
 1. (a) a _firm_ to whom this Part applies (B) has given a reference pursuant to 3.1 to any _PRA-authorised person_ (A) about any _person_ (P); and
 2. (b) either
 1. (i) B is or has become aware of matters or circumstances that mean that, if B was giving that reference now, this Part would require B to draft it differently; or
 2. (ii) B has reached conclusions of the type described in item (E), or taken _disciplinary action_ of the type described in item (F) of the _regulatory reference template_, and had B taken or reached those conclusions or actions in the six year period referred to in the _regulatory reference template_, this Part would require B to draft the reference differently; and
 3. (c) it would be reasonable to consider the differences in (b) to be significant for an assessment by A of the fitness and propriety of P for the role at A for which the reference was given;
2. B must make reasonable enquiries as to the identity of P's current employer and (subject to (3)) provide A with details of those differences in writing as soon as reasonably practicable.
3. (2) The obligation to update regulatory references in (1) applies in the following circumstances:
 1. (a) if P is no longer employed by or in the service of B, the obligation to update references in (1) ends six years after P ceased to be employed by, or in the service of B;
 2. (b) if P is no longer employed by or in the service of B and the matters or circumstances are not serious matters, B does not have to disclose something if it did not occur or exist in the six year period ending on the date B gave the original reference. This limitation is additional to that in (2)(a).
 3. (c) if P is still employed by, or in the service of B, (1), applies throughout the period P remains employed by, or in the service of, B.
4. (3) B is not required to update a regulatory reference given to A if:
 1. (a) A is no longer a _full scope regulatory reference firm_;
 2. (b) P is no longer employed by, or in the service of, A; or
 3. (c) P is not yet employed by, or in the service of A, and it is no longer intended that P will be employed by or serve at A; or
 4. (d) despite making reasonable enquiries under (1), B does not know whether P is still employed by, or in the service of, A.
5. (4) (1) does not require B to update references provided prior to 7 March 2017.
6. (5) If a _firm_ (B) has given a reference to another _firm_ (A) under 2.5 in respect of a _person_ (P) no more than six years ago and B asks A if P is still an employee of, or serving at, A, A must answer that question as soon as reasonably possible, even if B does not tell A the reason for the enquiry.

3.3

A _firm_ must not enter into any arrangements or agreements with any _person_ that limit its ability to disclose information under this Part.

3.4

This Part does not require a _firm_ to disclose information that has not been properly verified.

3.5

1. (1) A _firm_ must arrange for orderly records to be kept that are sufficient to enable it to comply with the requirements of this Part in response to any requests for references referred to in this Part in relation to item (E) and item (F) in the _regulatory reference template_.

2. (2) A _firm_ does not breach the requirements of this Part by failing to include information in a reference that it would otherwise have to include if:

1. (a) the reason for the omission is that the _firm_ does not have the necessary records; and
2. (b) neither (1) nor any other requirement of or under the _regulatory system_ requires the _firm_ to have those records.

4

Disclosure and Replacements

4.1

1. (1) A _firm_ (other than a _UK ISPV_ or _third country insurance services provider_) shall notify the _PRA_ of any changes to the identity of _key function holders_ and shall provide the _PRA_ with:

1. (a) all the information needed to assess whether such _person_ is fit and proper pursuant to 2.2; and
2. (b) the information referred to in Insurance - Allocation of Responsibilities 5.1(3) in respect of that _person_.

2. (2) A _UK ISPV_ shall notify the _PRA_ of any changes to the identity of _key function holders_ who are effectively running the _firm_ and shall provide the _PRA_ with all the information needed to assess whether such _person_ is fit and proper pursuant to 2.2.

3. [Note: Art. 42(2) of the _Solvency II Directive_]

4. (3) Where a _firm_ has complied with 4.1(1) in connection with the appointment of a _person_ as a _key function holder_ , and such _person_ transfers from that _key function_ to a different _key function_ or is appointed to an additional _key function_ , in either case within the same _firm_ , for the purposes of 4.1(1) the _firm_ need only supply, in connection with such subsequent appointment:

1. (a) updates to the information previously provided; and
2. (b) if the _key function holder_ is also to perform a _PRA senior management function_ or an _FCA controlled function_ , the information required in connection with an application for approval to do so.

4.2

Where:

1. (1) a person who is to become a _key function holder_ is also to be approved by the _PRA_ to perform a _PRA senior management function_ or by the _FCA_ to perform an _FCA controlled function_ ; and
2. (2) the _firm_ includes the information referred to in 4.1 in its application to the _PRA_ for the approval of that _person_ to perform the _PRA senior management function_ , or in the application to the _FCA_ for the approval of that _person_ to perform the _FCA controlled function_ ,

this shall satisfy the requirement in 4.1 in respect of that _key function_ appointment.

4.3

If a _firm_ becomes aware of information which would reasonably be expected to be material to the assessment of a

current or former _key function holder?s_ fitness and propriety under this Part, it must inform the _PRA_ as soon as practicable.

[Note: Art. 42(3) of the _Solvency II Directive_]

4.4

Where a _firm_ replaces a _key function holder_ because the _firm_ considers that that _person_ is no longer fit and proper pursuant to 2.1 and 2.2, the _firm_ must notify the _PRA_ as soon as reasonably practicable.

[Note: Art. 42(3) of the _Solvency II Directive_]

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5.1

This Part applies to the _Society_ and _managing agents_ separately.

6

Fitness and Propriety Transitional Provisions

6.1

The requirements of 2.4 \- 2.6 do not apply to a _firm_ in respect of any _person_ who has _continued approval_ in relation to that _firm_.

6.2

The requirements of 2.4 ? 2.6 do not apply to a _firm_ in respect of a _key function holder_ in relation to any _key function_ held by that _person_ as at 7 March 2016 at that _firm_.

6.3

The requirement to request regulatory references from a _full scope regulatory reference firm_ in accordance with the requirements of 2.6(2) does not apply to a _firm_ in respect of an application for approval as an _approved person_ made before 7 March 2017.

6.4

Item (F) in the _regulatory reference template_ does not require disclosure of _disciplinary action_ that took place before 7 March 2017 if the _firm?s_ records do not show whether the conduct that was subject to _disciplinary action_ amounted to a breach of the _individual conduct requirements_ referred to in item (F) in the _regulatory reference template_.

6.5

The requirement to obtain regulatory references in accordance with 2.5 does not apply to a _firm_ in respect of any _person_ to the extent that:

1. (1) the _firm_ is deciding whether the _person_ is fit and proper for the purpose of issuing a _certificate_ to perform a _certification function_ ; and
2. (2) immediately prior to 10 December 2019 the _person_ performed the same _certification function_ for the _firm_.

6.6

Item (F) in the _regulatory reference template_ does not require disclosure of _disciplinary action_ that took place in respect of a _certification employee_ (other than a _key function holder_) prior to 10 December 2019 if the _firm?s_ records do not show whether the conduct that was subject to _disciplinary action_ amounted to a breach of the _individual conduct requirements_ referred to in item (F) in the _regulatory reference template_.

7

Template

7.1

The _regulatory reference template_ is the template found here.